



June 18, 2021

**Pluto Valencia Business Parks Private
Limited**

**Fair Valuation of Equity Shares of Panvel Logistics & Warehousing
Solutions Private Limited**

**TPG & CO, CHARTERED ACCOUNTANTS
AND REGISTERED VALUER, SFA, IBBI
THANE**



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Private Limited

June 2021

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TPG & Co.
Chartered Accountants

Private and Confidential

18th June 2021

Pluto Valencia Business Parks Private Limited
1st Floor, Embassy Point,
150 Infantry Road
Bengaluru
Karnataka 560001

Dear Sirs,

Sub: Fair Valuation of Equity Shares of Panvel Logistics & Warehousing Solutions Private Limited

1. We refer to your e-mail dated 17th June 2020 and the subsequent discussions we had with you, to carry out fair valuation of equity shares of Panvel Logistics & Warehousing Solutions Private Limited ('Panvel Logistics'/'Company'), on an 'as is where is', going concern basis as at Current Date ('Valuation Date').

2. BACKGROUND, CONTEXT AND PURPOSE

Pluto Valencia Business Parks Private Limited ('Pluto') is a company incorporated under the provisions of Companies Act, 2013 and intends to acquire equity shares of Panvel Logistics from Mr. Shashikiran Shetty & Mrs. Arathi Shetty ('Promoters'), who currently own 100% of the equity shares of Panvel Logistics.

Panvel Logistics has been incorporated on 31st August 2019 to undertake the business of conceptualizing, designing, constructing, developing, selling, leasing, licensing and/ or managing the warehouses and/ or industrial and logistics parks. Panvel Logistics has applied for acquisition of land in Dobaspet 5th Phase Industrial Area, Bengaluru from Karnataka Industrial Areas Development Board ('KIADB').

It is proposed that Pluto will acquire all the equity shares of Panvel Logistics from the Promoters. In this connection, the Management has approached TPG & Co. ('TPG') for assistance in fair valuation of equity shares of Panvel Logistics on an 'as is where is', 'going concern' basis, as at current date, pursuant to the Foreign Exchange Management (Non-Debt Instruments) Rules, 2019 notified vide Notification No. S.O. 3732(E) [F.NO.1/14/EM/2015] dated October 17, 2019 by the Reserve Bank of India ('RBI'), as amended from time to time ('RBI Guidelines'), as investment by Pluto into the Company is regarded as a downstream investment as per RBI Guidelines. The Valuation is to be carried out by adopting any internationally accepted pricing methodology on arm's length basis pursuant to the RBI Guidelines.

The valuation is purely for a statutory purpose mentioned in this paragraph and will not be used, either directly or indirectly, to determine the transaction price, except as a reference to determine a minimum price or value at which the existing shares can be transferred to Pluto. This valuation is required solely for non-financial reporting purposes.

We have carried out the fair valuation of equity shares of Panvel Logistics, using internationally accepted pricing methodology, and this report sets out the equity value of Panvel Logistics.



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3. SOURCES

This report is prepared based on the following information provided to us by the Management:

- Considered statement of assets and liabilities of Panvel Logistics, as at 15th June 2021, as available with the Management;
- Read KIADB letter dated 19th April 2021;
- Read demand note dated 9th April 2021;
- Inputs from Management; and
- Such other analyses and inquiries, as considered necessary;

4. Panvel Logistics

Company Background:

We understand from the Management that Panvel Logistics has applied for acquisition of land in Dobaspet 5th Phase Industrial Area, Bengaluru from KIADB for development of warehouses.

Shareholding Pattern as at Current Date

Particulars	Number of Shares	INR in Thousands	Held by
Equity share capital (face value INR 10/-)	3,500	35.0	Mr. Shashikiran Shetty
Equity share capital (face value INR 10/-)	3,500	35.0	Mrs. Arathi Shetty
Total	7,000	70.0	

Source: Management Information

5. Extracts of the Statement of Assets and Liabilities as at 15th June 2021

Particulars	INR in Thousands
<u>Sources of Funds:</u>	
Equity share capital*	70.0
Accumulated losses	(253.6)
Shareholders' Funds (A)	(183.6)
Borrowings (B)	295,571.9
Total (A +B)	295,388.3
<u>Uses of Funds:</u>	
Net fixed assets (A) (CWIP)	295,384.2
Current assets:	
Cash	147.7
Sub-total	147.7
Current liabilities:	
Other Payables	43.4
Trade Payables	93.8
Other Current Liability	6.4
Sub-total	143.6
Net current assets (B)	4.1
Total (A + B)	295,388.3

Note: CWIP primarily relates to charges paid in relation to acquisition of land.

Source: Management information



6. VALUATION APPROACH

Valuation has been carried out adopting the internationally accepted pricing methodology. Following are the generally accepted pricing methods:

- Comparable Companies' Multiples ('CCM') method
- Discounted Cash Flow method
- Net Asset Value method

Based on the statement of assets and liabilities as at 15th June 2021 as well as our discussion with the Management, we understand that Panvel Logistics has applied for acquisition of land in Dobaspet 5th Phase Industrial Area, Bengaluru from KIADB for development of warehouses.

In connection with this exercise, we have adopted the following procedures to carry out the valuation analysis:

- Requested and received statement of assets and liabilities as at 15th June 2021
- Discussions with the Management on proposed business of Panvel Logistics
- Selection of valuation approach and valuation methodology/ (ies), as considered appropriate and relevant by us.

It should be understood that the valuation of any company or its assets is inherently subjective and is subject to certain uncertainties and contingencies, all of which are difficult to predict and are beyond our control. In addition, valuation of any company fluctuates with changes in prevailing market conditions, the conditions and prospects, financial and otherwise, of the company, and other factors which generally influence the valuation of companies and their assets.

The application of any particular method of valuation depends on the purpose for which the valuation is done. Our choice of methodology of valuation has been arrived at using usual and conventional methodologies adopted for transactions of a similar nature and our reasonable judgment, in an independent and bona fide manner based on our previous experience of assignments of a similar nature.

6.1 Comparable Companies' Multiple (CCM) Method

Under CCM, value of the equity shares of a company is arrived at by using multiples derived from valuations of comparable companies, as manifest through stock market valuations of listed companies. This valuation is based on the principle that market valuations, taking place between informed buyers and informed sellers, incorporate all factors relevant to valuation.

CCM is generally used for companies with stable level of operations (company with some years of consistent business operations) and having comparable listed peer set. Here in this case, Panvel Logistics is at land acquisition stage hence we have not used CCM approach for valuation.

Also this approach cannot be used for companies involved in real estate properties since in case of real estate, the valuation would be dependent on location of property, demand/ supply position in that area, expected rental yield etc., which would be different for each area, depending on the size of the project, availability of properties for sale in that area etc.



6.2 Discounted Cash Flows (DCF) Method

Under the DCF method the projected free cash flows to the firm are discounted at the weighted average cost of capital. The sum of the discounted value of such free cash flows is the value of the firm.

Using the DCF analysis involves determining the following:

Estimating future free cash flows:

Free cash flows are the cash flows expected to be generated by the company that are available to all providers of the company's capital – both debt and equity.

Appropriate discount rate to be applied to cash flows i.e. the cost of capital:

This discount rate, which is applied to the free cash flows to equity, should reflect the opportunity cost to shareholders. The opportunity cost to the equity holders equals the rate of return expected on other investments of equivalent risk.

Rent Capitalisation Method

Under this method, net operating income (net lease rentals after adjustment for property tax/ insurance etc. on the property) is capitalized using a rate that reflects the expected market returns on similar properties.

Capitalization rate is basically the per year yield on the investment a buyer expects once he buys a matured property. This capitalization rate is derived from the amount of risk that is involved in that particular type of investment. Generally riskier asset classes have a higher capitalization rate. Since in an efficient market, the return on capital a typical buyer will get will be equal to the cost of capital, the capitalization rate is also an indicator of the return expectations of a typical buyer in the market.

Capitalization rate is also inflation protected because as with any property, lease revenues are expected to keep pace with the prevailing inflation. So the returns a buyer gets keeps increasing because of the increase in future lease revenue. In economics terms it's called real return on investment because the purchasing power of your money is maintained and is not eroded by inflation. The capitalization rates take into account the risks involved in the project.

Panvel Logistics is still at land acquisition stage. The Company's business plan would depend on the manner and timelines of acquisition of land and hence the Income Approach has not been adopted for the Valuation.

6.3 Net Asset Value (NAV) Method

The asset-based valuation technique is based on the value of the underlying net assets of the business, either on a book value basis or realizable value basis or replacement cost basis. This valuation approach is mainly used in case where the firm is to be liquidated i.e. it does not meet the "going concern" criteria or in case where the assets base dominate earnings capability or wherein the business operations are extremely minimal.

Panvel Logistics is a newly incorporated company and is still at land acquisition stage. The Company's business plan would depend on the manner and timelines of acquisition of land and hence, we have adopted the NAV method for the Valuation. Kindly refer to Annexure 1 for NAV workings.



In the ultimate analysis, valuation gets influenced by the valuer's judgement of many qualitative factors. These factors could include quality and integrity of the management, present and prospective competition, yield on comparable securities and market sentiment, industry scenario, stage of the company (start-up/stable) etc. which are not evident from the face of the balance sheets.

7. CAVEATS

- 7.1 This report, its contents and the results herein are specific to (i) the purpose of valuation as specified in the para 2 above (ii) the Valuation Date and (iii) are based on the statement of assets and liabilities as at 15th June 2021 as provided by the Management. This report is based on the fact that Panvel Logistics is still at land acquisition stage and the Company's business plan would depend on the manner and timelines of acquisition of land.
- 7.2 The user to which this valuation is addressed should read the basis upon which the valuation has been done and be aware of the potential for later variations in value due to factors that are unforeseen at the Valuation Date. An analysis of such nature is necessarily based on the prevailing stock market, financial, economic and other conditions in general and industry trends in particular as in effect on, and the information made available to us as of, the Valuation Date/date hereof. Events occurring after the date hereof may affect this report and the assumptions used in preparing it, and we do not assume any obligation to update, revise or reaffirm this report.
- 7.3 The conclusion rendered in this report is based upon information available from the Management till current date. Although every scientific method has been employed in systematically arriving at the value, there is no indisputable single value. Further, the conclusions arrived at in many cases will, of necessity, be subjective and dependent on the exercise of individual judgement. While we have provided our assessment of fair market value based on the information available to us and within the scope and constraints of our engagement, and we consider the valuation to be both reasonable and defensible based on the information available, others may place a different value. While we normally express our assessment as falling within a likely range, as per requirements of this Engagement, we are providing a single value.
- 7.4 We are independent of the Client and have no current or expected interest in the Company or its assets. The fee paid for our services in no way influenced the results of our analysis.
- 7.5 In the course of the engagement, we have been provided adequate information and time for carrying out this valuation. We were provided with both written and verbal information, including financial and market data. In accordance with the terms of our engagement, we have evaluated the information provided to us by the Company through broad inquiry, analysis and review but we have neither carried out a due diligence/audit of the information provided for the purpose of this engagement nor have we independently investigated or otherwise verified the data provided. The accuracy of information made available till date is the responsibility of the Management. We are not legal or regulatory advisors with respect to legal and regulatory matters for the Transaction. We do not express any opinion or offer any form of assurance regarding the accuracy and completeness of the financial information or other information provided to us.
- 7.6 A draft of this report was shared with the Management for confirmation of facts and other inputs provided by the Management. The draft report has been duly confirmed by them for the facts etc.



- 7.7 Our conclusions are based on information provided by the Management and based on the representation of the Management. We assume no responsibility for any errors in the information furnished to us, and their impact on the report. However, nothing has come to our attention to indicate that the information provided was materially mis-stated/ incorrect or would not afford reasonable grounds upon which to base the report. We do not imply and it should not be construed that we have verified any of the information provided to us, or that our inquiries could have verified any matter, which a more extensive examination might disclose. We shall not be liable for any loss, damages, cost or expenses arising from fraudulent acts, misrepresentations, or willful default on part of the companies, their directors, employee or agents.
- 7.8 We owe responsibility to only Pluto which has retained us, and nobody else. We do not accept any liability to any third party in relation to the issue of this report. This report is not a substitute for the third party's own due diligence/ appraisal/ enquiries/ independent advice that the third party should undertake for his purpose.
- 7.9 The report must be considered as whole and cannot be split into parts. Selecting certain portions of the Report or the factors considered, without taking into account all the factors and analysis together could create a misleading view of the process underlying the valuation conclusions.
- 7.10 The report assumes that the Company complies fully with relevant laws and regulations applicable in its area of operations and usage unless otherwise stated, and that the Company will be managed in a competent and responsible manner. Further, as specifically stated to the contrary, this report has given no consideration to matters of a legal nature, including issues of legal title and compliance with local laws, and litigations and other contingent liabilities that are not recorded/reflected in the balance sheet provided to us.
- 7.11 The valuation report is tempered by the exercise of judicious discretion by the Valuer, taking into account the relevant factors. There will always be several factors, e.g. management capability, present and prospective competition, yield on comparable securities, market sentiment, etc. which may not be apparent from the Balance Sheet but could strongly influence the value.
- 7.12 This report is subject to the laws of India.

8. CONCLUSION

In view of the above and on consideration of all the relevant factors and circumstances as discussed and outlined hereinabove, in our opinion, the fair value of each equity share of face value INR 10 of Panvel Logistics, as at the Valuation Date, calculated as per internationally accepted pricing methodology on arm's length basis, is INR nil per share. Kindly refer to Annexure 1 for NAV workings.



9. DISTRIBUTION OF OUR REPORT

- 9.1 Our report has been prepared solely for use by Pluto, in connection with the purpose indicated above in paragraph 2 and should not be relied upon for any other purpose and may be provided to the Reserve Bank of India and/ or the concerned authorized dealer(s) and/or concerned Ministry/ Department of Government of India in connection with such purpose. It is not to be used (other than for the purpose outlined in paragraph 2 above), referred to or distributed for any other purpose or to any other person without our written consent. Consequently, except to the extent required by the laws of India, you should not make our report available or otherwise disclose our report to any third party (other than the concerned regulatory authorities) unless we have specifically agreed with you and that party, in writing, the basis on which our report may be made available and which we may give or withhold at our absolute discretions. In no event, regardless of whether consent has been provided, shall we assume any responsibility to any other party to which the report is disclosed or otherwise made available or is used for any purpose other than that indicated in paragraph 2 above.
- 9.2 This report is not to be referred to or quoted, in whole or in part, in any offering memorandum, prospectus, registration statement, public filing, loan or other agreement or document without our express written approval, except to the extent that disclosures in respect of the report are required by Pluto. TPG & Co accepts no duty, obligation, liability or responsibility to any party, other than Pluto, with respect to the services and/ or this report.
- 9.3 Our aggregate liability is as per the terms of the Engagement Letter executed with Pluto, and subject to the limitations of liability agreed therein.

We would like to record our appreciation for the courtesy and co-operation received by us during the course of our work.

For TPG & Co
Chartered Accountants
ICAI FRN 141265W



Tejal Gupta
Proprietor

Membership No: 128157
Registered Valuer, SFA – IBBI/RV/06/2018/10207
UDIN: 21128157AAAABR9705



Annexure 1 - Net Asset Value Workings

Particulars INR in Thousands	As at 15-Jun-2021
<u>Assets</u>	
<u>CWIP</u>	2,95,384.2
Cash & Bank Balance	147.7
Total Assets (A)	2,95,531.9
<u>Liabilities</u>	
Borrowings	2,95,571.9
Trade Payables	93.8
Other Payables	43.4
Current Liabilities	6.4
Total Liabilities (B)	2,95,715.5
Value under NAV (A-B)	(183.6)
Equity Shares	7,000
Value per Share (INR)	-

**Since Net Asset Value is negative, value per share is Nil.*

